

VESTAS

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EXECUTIVE SUMMARY

Vestas Wind System is a global leader in wind turbine manufacturing and renewable energy solutions, operating in a structurally expanding industry driven by decarbonization policies, electrification trends, and increasing energy demand.

In 2025, the company generated total revenues of €18.8 billion, reflecting strong growth compared to €17.3 billion in 2024.

The business is structured around two main segments: Power Solutions, which represents the core turbine manufacturing activity, and Service, which provides long-term maintenance and digital solutions.

The company exhibits a hybrid business model combining cyclical project-based revenues with stable and high-margin recurring service revenues. This structure enhances cash flow visibility and supports long-term value creation.

Based on the DCF valuation (derived from the Excel model), Vestas shows solid long-term growth potential, supported by increasing installed capacity, improving margins, and expansion of the service segment.

COMPANY OVERVIEW & INDUSTRY CONTEXT

Vestas operates in the global wind energy sector, one of the most important pillars of the energy transition toward a low-carbon economy.

The industry benefits from:

- Strong government support (subsidies, incentives)
- Increasing corporate demand for renewable energy
- Geopolitical need for energy independence

At the same time, the sector is characterized by:

- High capital intensity
- Strong price competition
- Exposure to raw material costs

Despite these risks, long-term demand remains structurally positive.

BUSINESS MODEL

Vestas operates through two main segments:

- **Power Solutions** → this segment includes:
 - o Design, manufacturing, and installation of wind turbines
 - o Construction of wind power plants
 - o Project development activities

In 2025, Power Solutions generated €15.1 billion in revenues (~80% of total).

- **Service** → this segment includes:
 - o Operation & Maintenance
 - o Spare parts and repairs
 - o Digital optimization services

These activities are typically based on long-term contracts (10-25 years), ensuring stable and predictable revenues. In 2025, Service generated €3.77 billion (~20% of total revenues).

Business Model Interpretation

The key strength of Vestas lies in its hybrid model:

- **Power Solutions** → growth driver but volatile
- **Service** → stable, recurring, high margin

This creates revenue diversification, improved cash flow stability, and lower risk profile over time.

FINANCIAL PERFORMANCE

From the 2025 Annual Report:

- **Total Revenue:** €18.8bn
- **EBIT:** €1.015bn
- **Profit before tax:** €1.039bn

Segment profitability:

- **Power solutions** EBIT: €783m
- **Service EBIT:** €617m

The Service segment despite being smaller, generates disproportionately high profitability, confirming its strategic importance.

GEOGRAPHICAL EXPOSURE

Revenue distribution shows a highly diversified global presence:

- USA: €4.4bn
- Germany: €2.7bn
- Brazil: €1.3bn
- Other countries: €9.9bn

Strong exposure to developed markets, diversified risk across regions, and reduced dependency on a single geography.

KEY VALUE DRIVERS

The company's valuation is driven by:

1. **Installed capacity growth**
 - a. Higher MW installed → higher turbine sales
2. **Service penetration**
 - a. More installed base → more long-term contracts → higher recurring revenues
3. **Margin improvement** driven by:
 - a. Economies of scale
 - b. Cost efficiency
 - c. Higher share of Service revenue
4. **Cost dynamics** → key risks:
 - a. Steel, copper, logistics directly impact margins
5. **Long-term growth assumptions**
 - a. From the report, Terminal Growth is set around 2%

COST STRUCTURE

Vestas operates with a cost structure typical of capital-intensive industrial firms:

- **Variable costs**
 - Raw materials (steel, composites)
 - Manufacturing
 - Logistics and installation
- **Fixed costs**
 - R&D
 - Production facilities
 - Global operations
- **Service costs**
 - Technicians
 - Spare parts
 - Monitoring systems

The business shows operating leverage: higher volume means higher margins.

COMPETITIVE LANDSCAPE

Vestas operates in a highly competitive market.

Main competitors include:

- Siemens Gamesa
- GE Vernova
- Nordex
- Chinese players (cost advantage)

Competition is based on:

- Pricing
- Turbine efficiency
- Reliability
- Scale

Additionally, wind competes indirectly with:

- Solar energy
- Other renewables

VALUATION METHODOLOGY

The valuation is conducted using a Discounted Cash Flow (DCF) model, which estimates the intrinsic values of Vestas based on projected future cash flows.

The model forecasts Free Cash Flows over a 4-year explicit period (2026-2029) and applies a terminal value using the Gordon Growth Model.

Key assumptions:

- **WACC:** 8.0%
- **Terminal growth rate:** 2.0%
- **Tax rate:** ≈25%
- **Capex:** declining from ≈4.5% to 4.2% of revenue
- **Revenue growth:** stabilizing around 5-6%

These assumptions reflect a mature but still growing industry, a moderate risk profile, and a long-term inflation-aligned growth.

FREE CASH FLOW PROJECTIONS

Projected Free Cash Flows:

- 2026: €291m
- 2027: €524m
- 2028: €782m
- 2029: €1,042m

Cash flow generation increases significantly over time due to improving margins, operational leverage, and lower working capital pressure.

This confirms a transition from recovery phase to cash generation phase.

DISCOUNTING & TERMINAL VALUE

Cash flows are discounted using the WACC of 8%.

- **Present Value of FCFs:** ≈€2.1bn (sum of discounted flows)
- **Terminal Value:** €17.7bn
- **Present Value of Terminal Value:** €13.0bn

More than 85% of total valuation comes from terminal value, which implies that valuation is highly sensitive to long-term assumptions and that small changes in WACC or growth translate into a large valuation impact.

ENTERPRISE VALUE & EQUITY VALUE

From the model:

- **Enterprise Value (EV):** €15.12bn
- **Net Debt:** €1.17bn
- **Equity Value:** €13.95bn

The company shows moderate leverage and strong enterprise valuation driven by future cash flows.

VALUATION INTERPRETATION

The valuation suggest that Vestas' value is primarily driven by long-term expectations rather than current profitability.

This reflects:

- Strong structural demand for renewable energy
- Scalability of the business model
- Increasing contribution of the Service segment

However, the reliance on terminal value highlights a key risk: execution risk.

If margins do not improve, cost pressures persist, and growth slows, valuation would decline significantly.

KEY RISKS

The main risks affecting the valuation are:

- 1. Margin pressure**
 - a. Raw materials (steel, logistics)
 - b. Pricing competition
- 2. Execution risk**
 - a. Delays in projects
 - b. Cost overruns
- 3. Regulatory risk**
 - a. Dependence on subsidies and policy
- 4. Competition**
 - a. Aggressive pricing from Chinese manufacturers

FINAL INVESTMENT THESIS

Vestas represents a long-term structural growth story, supported by the global energy transition.

The company benefits from:

- Strong market position
- Recurring service revenues
- Global diversification

However, its valuation is constrained by:

- Margin volatility
- Cost inflation
- Execution risks

FINAL RECOMMENDATION

HOLD (balanced view).

The DCF suggests fair valuation with limited upside under current assumptions.

Upside scenario:

- Faster margin expansion
- Stronger service growth

Downside scenario:

- Cost pressures persist
- Growth disappoints

Based on the DCF analysis, Vestas appears to be fairly valued under current assumptions, supporting a HOLD recommendation, as the implied equity value reflects a balanced risk-return profile with limited short-term upside. While the company benefits from strong structural tailwinds driven by the global energy transition, the valuation remains highly dependent on long-term assumptions, particularly the discount rate and terminal growth.

Even modest changes in WACC or terminal growth would result in significant variations in equity value, highlighting the sensitivity of the model and the importance of execution over time.

Ultimately, the investment case for Vestas hinges on its ability to transition from a volume-driven business model to a margin-driven one, supported by the increasing contribution of its Service segment. Sustained margin expansion and improves cost efficiency represent the key levers for unlocking further value, while failure to achieve these improvements would limit upside potential and expose the valuation to downside risk.